



Weekly Insights | Feb 25, 2026

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Executive Summary

Corn – Demand Holds as Structure Remains in Carry

May corn settled near \$4.64/bu, up seven cents on the week, with the market continuing to hold a relatively tight range. Demand remains solid, but it is not changing the underlying structure. Export inspections picked up to 1.66 MMT, pushing cumulative shipments to 42.9 MMT and keeping the U.S. well ahead of last year, while weekly sales at 1.68 MMT continue to support forward demand. Ethanol production slipped to 1.093 mbpd from 1.126 the prior week, while stocks also moved lower, keeping the domestic demand picture steady but not accelerating. Managed

money remains net long at +193k, continuing to provide support on breaks. Structurally, however, nothing has shifted. The May–July spread holding near +11 cents, or 73 percent of full carry, continues to signal comfortable ownership and no urgency to pull demand forward, while Gulf basis near +77 suggests grain is moving without friction. Corn remains supported, but there is still no indication of tightening.

Wheat – Steady Flow, but Structure Still Reflects Ample Supply

May CBOT wheat settled near \$6.05/bu, up 13 cents on the week, with price action remaining relatively contained. Supply continues to drive the market. Weekly inspections slipped to 343k MT, though cumulative shipments remain ahead of last year, pointing to steady but unremarkable demand. The spread structure reinforces the broader tone, with May–July near +11 cents, or 65 percent of full carry, and additional carry further out along the curve, continuing to signal that supply is readily available and there is no urgency to pull grain forward. Gulf basis at +70 to +85 reflects consistent but not expanding demand. Funds remain net short at -22k, with recent moves more reflective of position adjustment than a shift in directional conviction. Wheat remains stable, but clearly supply-driven, with structure continuing to cap upside.

Soybeans – Strong Crush Supports, but Brazil Supply Builds

May soybeans settled near \$11.57/bu, down 59 cents on the week, as expanding South American supply weighed more directly on the market and began to overwhelm otherwise strong domestic demand signals. February NOPA crush came in at 208.8 mbu, a new monthly record, reinforcing that processing remains historically strong. However, soybean oil stocks increased to 2.08 billion pounds, highlighting that product supply is building alongside strong throughput, limiting the tightening impact of crush. Export inspections improved to 966k MT, though cumulative shipments at 28.1 MMT continue to trail last year as Brazil accelerates exports into the global market. Managed money remains heavily net long at +222k, leaving the market increasingly sensitive to liquidation as supply pressure builds. The May–July soybean

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spread near +14 cents, or 58 percent of full carry, still reflects some nearby support, but the broader structure and price action suggest the market is beginning to reprice away from demand-led strength toward supply-driven pressure.

(Carry percent calculated assuming 7 percent annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Supportive Backdrop, but Still Secondary to Fundamentals

Energy markets remained firm through the week, with WTI holding near the \$100/bbl level, continuing to provide a supportive backdrop across the broader commodity space, particularly through biofuel margins and input costs. Even so, that support has not translated into a directional driver for grains, where price action continues to be dictated by physical flow and balance sheet dynamics. The U.S. dollar held near 99.6, keeping the currency environment broadly neutral, while the Brazilian real weakened toward 5.23, maintaining favorable export economics for Brazilian origin and reinforcing its competitiveness in global markets. Overall, macro remains supportive at the margin, but it is not altering trade flows or price structure in a meaningful way and continues to act as a background influence rather than a catalyst.

Weather – U.S. Risk Builds While South America Maintains Supply Momentum

Weather is beginning to carry more weight in the market conversation, particularly across the U.S., where dryness continues to expand across key producing regions. Approximately 54 percent of the Lower 48 remains in drought, with conditions deteriorating across portions of the Southern Plains during an important period for winter wheat development. While not yet a confirmed production issue, the trend is moving in that direction and is increasingly being monitored by the market as a potential early-season risk. In contrast, South America continues to reinforce the supply side of the balance sheet. Brazil's soybean harvest has advanced to 59.2 percent, up from 50.6 percent the previous week, with safrinha corn planting reaching 85.5 percent, both progressing toward seasonal completion and keeping export pipelines well supplied. In Argentina, recent rainfall has stabilized crop conditions, with soybeans rated 76.2 percent good-to-excellent and corn near 90 percent, reducing near-term production risk following earlier concerns. The divergence between a stable South American outlook and a gradually deteriorating U.S. weather profile is starting to matter more, particularly as the market begins to look ahead to the next phase of the Northern Hemisphere growing season.

What's Next (Mar 19 – Mar 26):

Export pace vs. USDA expectations, especially in corn

Whether wheat spreads continue to hold carry

Continued strength, or slowdown, in soybean crush and product demand

Any shift in fund positioning after the recent build in length

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	03/11/2026 Close	03/18/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)

Corn (May '26)	\$4.57	\$4.64	+\$0.07	+1.53 percent	14.2 percent (ann.)	+12.4k (est.)
Soybeans (May '26)	\$12.16	\$11.57	-\$0.59	-4.85 percent	28.7 percent (ann.)	-8.2k (est.)
Wheat (May '26)	\$5.92	\$6.05	+\$0.13	+2.20 percent	19.5 percent (ann.)	+5.1k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	03/11/2026 Quote	03/18/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn May–July	+0.11\$	+0.11\$	+0.00	73 percent	Carry remains in place; nearby demand is firm
Soy May- July	+0.13\$	+0.14\$	+0.00	58 percent	Modest carry; nearby support from crush
Wheat May-July	+0.11\$	+0.11\$	+0.00	65 percent	Structure stable in carry; global supply remains available

ssumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over May–July (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.17, soybeans ≈ \$0.24. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	03/11/2026 USD Price	03/18/2026 USD Price	Δ percent	Notes
Dalian Corn (May)	¥2,374(\$8.73/bu)	¥2,385 (\$8.77\$/bu)	+0.46 percent	Sideways trade; firm domestic demand in China offset by high inventory levels.
Dalian Soymeal (May)	¥3,126(\$/437.20mt)	¥3,052(\$426.85/mt)	-2.37 percent	Corrective easing as improved domestic crush margins clash with higher arrivals.
B3 (São Paulo) Corn (May)	R\$75.82 (\$14.52)	R\$72.50 (\$13.78)	-5.09 percent	Prices retreating as a weakening Real and favorable <i>safrinha</i> weather weigh on local values.
Euronext Wheat (May)	€206.00 (\$238.35/mt)	€207.50 (237.90\$/mt)	-0.19 percent	Relatively flat; euro gains translated into little change in USD terms.

Corn Market Deep Dive

Futures & Spreads: Corn futures traded in a relatively tight range over the week, with May settling near \$4.64/bu, up seven cents, and December around \$4.90/bu, leaving the May–December spread near a 26-cent carry. The curve continues to reflect a market with adequate supply and no need to pull demand forward. Calendar spreads held steady, with May–July near +11 cents, or 73 percent of full carry, July–September around +2 to +3 cents, and September–December near +14 cents. This level of carry continues to signal comfortable ownership and sufficient inventory across the curve, even as demand holds together. As the market moves toward the March 31 Prospective Plantings report, new-crop pricing continues to lean toward another large U.S. crop, with structure offering little indication of tightening.

Funds & Positioning: Managed money remains net long at +193,271 contracts as of March 10. The move from earlier short exposure has helped stabilize the market on breaks. With a sizeable long already in place, additional upside will likely require a new catalyst. Without a shift in the supply outlook, further buying probably depends on either stronger demand or developing weather or acreage risk.

Cash & Basis: Gulf basis was steady to slightly softer, with CIF values near +77 to +78 over May futures. While off earlier highs, levels still point to active export flow and steady demand. The lack of a stronger basis response despite solid shipments suggests grain is moving without issue. The cash market is supportive but not signaling tightness.

Export Sales & Inspections: Export demand continues to be one of the stronger parts of the market. Weekly inspections reached 1.66 MMT for the week ending March 12, bringing cumulative shipments to 42.9 MMT, well ahead of last year. Export sales came in at 1.68 MMT, with outstanding commitments near 24.78 MMT. The combination of strong shipments and steady forward sales keeps U.S. corn competitive, even as South American supply expands.

Domestic Demand: Domestic demand through ethanol continues to provide a steady, but not strengthening, base. Production declined to 1.093 million barrels per day for the week ending March 13, while stocks increased to 26.41 million barrels. The combination of lower output and rising inventories points to slightly softer near-term offtake, suggesting blending demand remains stable but not tightening. While this does not materially weaken the demand side of the balance sheet, it reinforces the idea that ethanol is providing consistency rather than a source of incremental support for corn.

Global Context: On the global side, supply conditions remain broadly comfortable and continue to shape the overall tone of the market. Brazil's safrinha crop is now largely planted at 85.5 percent, with yield potential increasingly dependent on weather conditions through the coming weeks, but with no immediate threat to production. In Argentina, recent rainfall has stabilized the outlook near 57 MMT, removing some of the earlier downside risk and reinforcing expectations of adequate supply. Ukraine also remains active in export markets, maintaining competition into key destinations. Taken together, the global backdrop continues to reflect availability rather than scarcity, limiting the ability for prices to extend higher in the absence of a new catalyst.

So What? Corn continues to trade in a market where demand is holding together but not tightening the balance sheet. Export flow, steady ethanol usage, and supportive fund positioning are providing a floor under prices, but they are not strong enough to shift the underlying structure. The curve remains in carry, and basis levels suggest that grain is still moving without friction, reinforcing the idea that supply is available. With funds already holding a meaningful long position, the market is increasingly dependent on a new input to extend higher, whether through stronger demand, acreage uncertainty, or emerging weather risk. Until then, the market remains supported but not constrained.

Soybean Market Deep Dive

Futures & Spreads: Soybean futures moved lower on the week, with May settling near \$11.57/bu, down 59 cents, while November held near \$11.40/bu, leaving the May–November spread near a 35-cent carry. The curve continues to show residual nearby support, though the sharp decline in flat price suggests that support is weakening as global supply expands. May–July holds near +14 cents, or 58 percent of full carry, indicating a still-supported nearby market, while the structure tightens into the late old-crop window, with July–August around -9 cents and August–November near -27 cents. That inversion window continues to reflect strong nearby demand, but the broader curve suggests the market is no longer tightening, with new-crop pricing increasingly shaped by incoming South American supply.

Products & Crush: Crush remains the core of the soybean story. February NOPA came in at 208.8 million bushels, a new monthly record and another confirmation of strong domestic demand. At the same time, soybean oil stocks increased to 2.08 billion pounds, the highest February level in over a decade. Crush margins continue to support throughput, but the build in oil stocks suggests that product supply is beginning to outpace demand at the margin. While this does not undermine the strength in processing, it points to a market that is no longer tightening through the product channel and may face more resistance if end-user demand does not keep pace.

Cash & Basis: Gulf basis was steady to slightly softer, with CIF values near +66 to +70 over May futures. While off earlier levels, basis still reflects demand from both exporters and domestic processors. The lack of a stronger move, even with solid shipment activity, suggests supplies remain available. The cash market is active, but not tight.

Funds & Positioning: Managed money remains heavily long at +222,107 contracts as of March 10. Funds have continued to add modestly, but positioning is already sizeable. At this level, a lot of the demand story is likely priced in, leaving the market more sensitive to any shift in fundamentals.

Export Sales & Inspections: Exports are moving through the expected seasonal transition. Weekly inspections reached 966k MT for the week ending March 12, though cumulative shipments at 28.1 MMT remain below last year. Export sales totaled 470.9 TMT, with outstanding commitments near 9.34 MMT. U.S. exports are still active, but gradually ceding share to Brazil as its export pace builds.

Global Context: Brazil remains the key driver. Harvest reached 59.2% as of mid-March, advancing quickly and moving slightly ahead of the five-year average, though still behind last year. As harvest continues, export pressure will increase. In Argentina, improved moisture has supported crop conditions, with soybeans rated 76.2% good-to-excellent and production holding near 48.5 MMT. Overall, global supply remains ample, with South America driving trade flows.

So What? Soybeans are trading between strong domestic demand and increasing global supply. Crush continues to support the nearby market, but higher product stocks and expanding South American exports are beginning to shift the balance. The curve reflects that transition, with strength in the front end but growing pressure further out as new-crop supply becomes more visible. The market is no longer tightening, and direction from here will depend on whether demand can keep pace with the expanding supply profile.

Wheat Market Deep Dive

Futures & Spreads: Wheat futures firmed modestly on the week, with May CBOT settling near \$6.05/bu, up 13 cents, while the curve remains firmly in carry. Spreads show May–July near +11 cents, or 65 percent of full carry, with July–September also near +11 cents and September–December widening to roughly +18 cents. The structure continues to signal readily available supply and no urgency to pull grain forward. Carry across the curve remains well established, pointing to comfortable coverage and reinforcing a market that remains supply-driven despite steady nearby demand.

Cash & Basis: At the Gulf, wheat basis held firm, with SRW CIF values between +70 and +85 over May futures and FOB near +90 to +95. These levels reflect consistent export movement and steady demand for nearby shipment. Basis is firm but not signaling tightness

Export Sales & Inspections: Export flow remains steady. Weekly inspections totaled 343k MT for the

week ending March 12, with cumulative shipments near 19.5 MMT, still ahead of last year. Export sales came in at 476.5 TMT, with outstanding commitments near 4.76 MMT. The export program is holding together, but not strong enough to tighten the balance.

Funds & Positioning: Managed money remains net short at -22,345 contracts. Recent changes have come more from long liquidation than new short selling, pointing to reduced conviction rather than a shift in direction. With positioning less extreme, the market is less likely to see sharp short-covering moves and remains more tied to fundamentals.

Global Context: Globally, supply remains ample and continues to anchor price direction. Black Sea and EU wheat are competitively priced into key export markets, limiting U.S. participation and capping rallies. This ongoing competition reinforces the carry structure and helps explain why price strength has struggled to extend. At the same time, attention is gradually shifting toward U.S. weather, particularly in the Southern Plains, where drought and elevated temperatures are becoming more relevant for winter wheat. While not yet a confirmed production issue, it is one of the few developing variables that could begin to shift the current supply-driven narrative.

So What? Wheat continues to trade in a market that does not need to ration supply. Carry in the curve and persistent global competition reinforce the idea that availability remains comfortable, even with steady demand. Price strength continues to be limited by the ability of lower-cost origin to supply the market, keeping rallies contained. From here, direction is likely to depend on whether U.S. weather risk begins to materially impact production or if global competition starts to ease. Until then, the market remains stable, but capped.

US Cash Market & Basis

Corn: Gulf corn basis was steady to slightly weaker, with CIF values around +77 to +78 over May futures. While off earlier highs, levels continue to reflect consistent export movement and smooth logistical flow. The lack of renewed firming, despite strong shipment pace, reinforces that supply remains readily available. Basis is supportive, but not indicating urgency, suggesting the market is well supplied even as demand holds.

Soybeans: Soybean basis at the Gulf was mostly steady to slightly softer, with CIF values near +66 to +70 over May futures. Demand from exporters and domestic crush remains active, supported by strong February processing and elevated product output. At the same time, increasing Brazilian export flow is beginning to weigh more directly on structure. Even so, nearby values continue to hold, indicating that old-crop supply is still moving efficiently through both export and domestic channels without signs of tightening.

Wheat: Wheat basis held firm, with SRW CIF values in the +70 to +85 range and FOB near +90 to +95 over May futures. This continues to reflect steady export movement, even against the backdrop of ample global supply. While the futures curve remains in carry, the firmness in basis highlights consistent nearby demand, though not at a level that signals tightening. The cash market remains supportive, but still aligned with a broader supply-driven structure.

So What? Cash markets continue to hold firmer than flat price and spreads might suggest. Export flow, crush demand, and steady logistics are supporting nearby values, particularly in corn and soybeans. At the same time, the lack of stronger basis response and the persistence of carry reinforce that supply remains available and ownership is comfortable. The system is moving grain efficiently, with enough demand to support prices, but not enough to shift structure or signal tightening. Basis is supportive, but not leading.

International Cash & Trade Flows

Brazil: Trade flows this week are being shaped more by logistics and execution than by changes in underlying supply. Brazil's soybean export flow is slowing right as peak shipping should be ramping up. New phytosanitary checks tied to China are backing things up, with vessels delayed, some redirected, and trading activity pulling back. Port congestion is building, and freight is pushing higher as demurrage costs climb. Harvest continues to advance, so supply is there, but it is not clearing efficiently. Brazil still dominates export flow, but right now the system is not keeping up with volume.

Argentina: Argentina continues to push wheat aggressively into the global market, pricing into destinations that normally would not be in play. That is pulling flow toward Argentine origin, but logistics are limiting how much can move. Low water on the Paraná is capping vessel loads, raising costs and slowing movement. At the same time, corn and soy flows are building behind it. The grain is available and competitively priced, but the constraint remains how quickly it can be shipped.

China: China is adjusting to the flow rather than driving it. Slower Brazilian shipments are creating short-term gaps, and those are being filled with spot buying from alternative origins, including the U.S. Demand itself remains steady, but the destination of that demand is shifting week to week based on availability and timing. The focus is on securing coverage where supply is moving, rather than expanding overall demand.

EU / Black Sea: Black Sea origin continues to set the tone, particularly in wheat. Russian offers remain the cheapest into key markets, even with higher export taxes, and Ukraine continues to move corn consistently. EU wheat remains competitive but on thinner margins. As long as Black Sea supply flows at these price levels, it continues to cap upside globally.

Freight & Logistics: Freight is becoming a more relevant part of the trade story. Rates are pushing higher, particularly out of the Gulf, with geopolitical risk adding cost and uncertainty to key routes. The PNW continues to gain ground for Asia-bound flows, supported by a clearer freight advantage and fewer route risks. At the margin, freight is beginning to influence origin preference.

So What? Trade flows are moving, but not cleanly. Brazil has the supply but is not moving it efficiently, Argentina is gaining share on price but constrained by logistics, and Black Sea continues to anchor pricing in wheat. Freight and route risk are playing a larger role in how trade is distributed. Supply is available, but the pace and efficiency of movement are becoming the key variables shaping the market.

Key Fundamentals & Reports (Mar 12 – Mar 19)

Export Inspections (USDA FGIS – week ending Mar 12): U.S. grain export inspections were mixed across the complex, though overall movement remains solid. Corn inspections increased to 1.66 MMT from 1.52 MMT the prior week, lifting cumulative shipments to 42.87 MMT and keeping pace comfortably ahead of last year. Soybean inspections reached 966k MT, with cumulative shipments at 28.06 MMT still trailing last year as Brazilian exports continue to build. Wheat inspections declined to 343k MT, but cumulative shipments at 19.47 MMT remain ahead of last year, pointing to steady underlying flow despite weekly variability.

Export Sales (USDA FAS – latest through week ending Mar 5): Weekly export sales continue to reflect consistent demand, led by corn. Weekly corn sales came in at 1.68 MMT, with outstanding commitments near 24.78 MMT, keeping forward demand intact even as South American competition increases. Soybean sales totaled 470.9 TMT, with outstanding at 9.34 MMT, reflecting the seasonal shift toward

Brazil. Wheat sales were 476.5 TMT, with a forward book near 4.76 MMT, holding steady in a competitive global market.

Ethanol Production & Stocks (Week Ending March 13, 2026): Ethanol demand remains a stable component of the corn balance sheet, though weekly data softened at the margin. Production declined to 1.093 million barrels per day, while stocks increased to 26.41 million barrels, indicating slightly weaker offtake relative to the prior week. While not indicative of a demand breakdown, the shift suggests that ethanol is no longer tightening inventories and is instead maintaining a steady baseline for corn usage. The data continues to support the view that domestic demand is holding, but not providing additional upside to the market.

NOPA Soybean Crush (February 2026, Released March 16): NOPA crush continues to anchor the demand side of the soybean balance sheet. Crush reached 208.8 million bushels, a new monthly record and roughly 17 percent above last year, reinforcing the strength of domestic processing demand as the primary driver of soybean usage. At the same time, soybean oil stocks increased to 2.08 billion pounds, highlighting the growing supply of products alongside elevated crush rates. The divergence between strong meal-driven demand and building oil inventories remains a key dynamic within the complex, particularly as biofuel policy and renewable diesel margins continue to influence the outlook. While exports remain seasonally pressured by Brazil, domestic crush continues to support the front end and offset part of that weakness.

CFTC Positioning (as of March 10): Managed money positioning shows speculative flows still playing a major role. Funds hold a net long of +193,271 contracts in corn and +222,107 in soybeans, while wheat remains net short at -22,345. Recent positioning changes suggest more of a reduction in bearish exposure in wheat rather than a clear directional shift, while length in corn and soybeans continues to provide support on breaks. At the same time, the size of these positions increases sensitivity to any change in demand or sentiment, particularly if the underlying fundamental story fails to strengthen.

So What? The data continues to point to a market where demand is active but not tightening the overall balance sheet. Corn remains supported by export flow, steady ethanol demand, and fund length, but the carry structure continues to signal available supply. Soybeans remain anchored by strong domestic crush, even as exports shift toward Brazil, reinforcing a split demand profile between domestic and global channels. Wheat continues to reflect the most comfortable supply situation, with steady but unremarkable demand and persistent global competition. Overall, the market remains supported at the margin, but without a catalyst strong enough to shift structure, price action continues to reflect availability rather than scarcity.

International Reports

Brazil: Brazil's soybean harvest continues to advance, reaching 59.2 percent as of mid-March, up from 50.6 percent the previous week and now slightly ahead of the five-year average, though still trailing last year's pace. As harvest accelerates, export availability continues to build, reinforcing Brazil's role as the dominant supplier into global markets during this window. CONAB continues to point toward a record crop, keeping the global supply outlook heavy and increasingly visible in trade flows. Safrinha corn planting has reached 85.5 percent, now above average, though still behind last season, with yield potential increasingly dependent on weather conditions in the coming weeks. From a market perspective, the key shift is the transition from potential supply to available supply, which is beginning to weigh more directly on U.S. export competitiveness.

Argentina: Crop conditions have stabilized following recent rainfall across key regions. Soybeans are rated 76.2 percent good-to-excellent, with first crop at 81 percent and second crop at 65.5 percent as

development progresses through key stages. Corn conditions remain strong at 89.7 percent good-to-excellent, with early harvest underway and yields coming in within expected ranges. Production expectations remain steady, supported by improved soil moisture. While Argentina is not driving global price direction on its own, the removal of earlier weather risk reinforces the broader theme of reliable South American supply, particularly as additional export volume begins to enter the market in the coming weeks.

China: China continues to emphasize domestic supply, setting a 2026 grain production target of 725 MMT and expanding the use of genetically engineered corn and soybean varieties to support yield growth. At the same time, underlying demand remains steady, with import behavior increasingly driven by price and availability rather than volume expansion. Reports of quality issues in parts of the domestic corn crop are tightening the supply of feed-grade grain, even as overall inventories remain sufficient. This creates a more selective demand profile, where China continues to source opportunistically from the most competitive origins, rather than driving incremental demand growth.

Black Sea / Europe: Conditions across the region remain broadly stable. Recent cold temperatures have introduced localized winterkill risk in parts of Eastern Europe, particularly for barley and rapeseed, though winter wheat remains largely intact. In Russia, increased export quotas continue to reflect large domestic supply, while Ukraine remains active in export markets. Improved soil moisture across Southern Europe has supported crop development following earlier dryness. From a market standpoint, Black Sea origin continues to anchor global wheat pricing, with competitive offers limiting upside potential and keeping U.S. wheat at a disadvantage in key export markets.

So What? Global production conditions remain supportive, but more importantly, supply is increasingly translating into available export flow. Brazil's advancing harvest is reinforcing its dominance in soybean exports, while Argentina's stabilized outlook removes a key source of uncertainty from the market. At the same time, Black Sea origin continues to set the price floor in wheat, maintaining competitive pressure globally. Demand remains present, but not expanding, particularly as China adopts a more opportunistic buying approach. The result is a market where supply is not just large, but actively moving, reinforcing the broader theme of comfortable availability and limiting the ability for prices to extend higher without a new catalyst.

Weather & Crop Conditions

United States

Weather is starting to matter more for U.S. winter wheat, especially across the Southern Plains where dryness continues to build. While national ratings are not available, state-level data is moving lower. Kansas dropped to 52 percent good-to-excellent (from 56 percent), Oklahoma to 18 percent (from 24 percent), Texas to 16 percent (from 21 percent), and Colorado to 39 percent (from 57 percent). Drought coverage has expanded, with roughly 67 percent of key HRW areas now in at least Moderate Drought (D1). At the same time, a developing heat pattern is pushing temperatures 20°F to 30°F above normal across western regions, with that heat expected to extend into the Plains. Rain is in the forecast later in the month, but for now the combination of heat and dryness is increasing stress on HRW, while SRW areas remain more stable.

Brazil

Harvest continues to move forward in Brazil, with soybean progress reaching 59.2 percent as of March 14, up from 50.6 percent the prior week. Still behind last year, but now slightly ahead of the five-year average, allowing export flows to accelerate. Safrinha corn planting reached 85.5 percent, up from 75.9 percent and now ahead of average, though still behind last season. A portion of the crop went in later

than ideal, leaving it more exposed to weather during development. Rainfall has generally supported early conditions, but distribution and timing will matter more going forward.

Argentina

Recent rainfall has improved conditions across Argentina, supporting both soil moisture and crop development. Soybean ratings increased to 76.2 percent good-to-excellent, with first crop at 81 percent and second crop at 65.5 percent as later fields move through key stages. Early harvest results are solid, with yields ranging from 3.7 to 3.8 t/ha in core areas, keeping production near 48.5 MMT. Corn conditions are also strong at 89.7 percent good-to-excellent, with harvest at 9.4% and yields ranging from 6.6 to 9.7 t/ha depending on the region. Some dryness remains in parts of Buenos Aires, but recent rainfall has reduced broader risk.

Other Regions

Conditions across other major regions remain stable. The Black Sea and Europe are not seeing meaningful weather issues, allowing both crop development and export flows to continue without disruption. For now, global weather risk remains localized rather than widespread.

So What?

Weather is starting to diverge across key regions. The U.S. is seeing increasing pressure on winter wheat as drought expands and temperatures rise, introducing a more relevant production risk. At the same time, South America continues to support the global supply outlook, with Brazil advancing harvest and Argentina benefiting from improved moisture. The broader picture remains one of adequate supply, but U.S. weather is becoming a factor to watch more closely.

Synthesis & Outlook

Market direction this week continues to be driven more by demand holding together than by any meaningful shift in supply. Balance sheets remain broadly comfortable across all three markets, yet that has not translated into weaker nearby price action. Instead, export flow, steady crush demand, and firm cash markets are doing just enough to keep futures supported. The result is a market that is not tight, but not under pressure either, trading in a middle ground where structure reflects availability while flow continues to provide support.

Corn remains primarily a demand-driven market in the near term, even as the underlying supply picture stays unchanged. May corn at \$4.64/bu continues to hold within a relatively tight range, while the May–July spread near 73 percent of full carry reinforces that ownership remains comfortable and there is no urgency to pull demand forward. Export shipments at 1.66 MMT continue to run ahead of pace, ethanol slipped to 1.093 mbpd, and managed money remains firmly net long, all of which keep a floor under the market. Even so, the curve remains in carry, supply is readily available, and there is still no indication that the market needs to ration demand. From here, upside likely requires a new input, most likely through acreage or weather.

Soybeans continue to show the strongest demand profile, though the balance is beginning to shift as global supply becomes more visible. May soybeans at \$11.57/bu reflect that pressure, even as the May–July spread near 58 percent of full carry points to a still-supported nearby structure. NOPA crush at 208.8 mbu continues to anchor demand, while Brazil's harvest, now past 59 percent, is increasingly translating into export flow. U.S. exports remain active but are now losing pace relative to last year. Demand is still doing the work, but the market is no longer tightening as South American supply becomes more visible and begins to limit upside.

Wheat remains the most supply-driven market. May wheat at \$6.05/bu, with the May–July spread near 65 percent of full carry, continues to signal available supply and no urgency to pull grain forward. Export flow remains steady, but not improving, and Gulf basis continues to reflect consistent but unremarkable

demand. Global competition, particularly from the Black Sea and EU, continues to anchor the market. Without a shift in demand or a meaningful weather concern, rallies remain limited, with structure continuing to cap upside.

Weather is becoming more relevant as the market begins to look ahead. Conditions across the Southern Plains continue to deteriorate, with drought expanding during a key window for winter wheat development. While not yet a confirmed production issue, the trend is clearly moving in that direction. In contrast, South America remains supportive on the supply side, with Brazil advancing harvest and Argentina stabilizing following recent rainfall. That divergence between a stable global supply outlook and a gradually increasing U.S. weather risk is gaining importance and could become a more active driver in the weeks ahead.

Bullish triggers: Continued strength in corn exports and ethanol demand would reinforce the current floor, particularly if supported by firmer basis levels. In soybeans, another strong crush print would confirm that domestic demand remains capable of absorbing incoming supply. Weather remains the key wildcard, with any escalation in stress across U.S. wheat regions or early corn planting likely to accelerate market reaction.

Bearish triggers: South American supply remains the primary source of pressure, particularly as Brazil's export flow continues to build. Corn still faces ample global availability, while wheat remains constrained by ongoing competition from Black Sea origin. In addition, the existing length in corn and soybean futures leaves the market increasingly vulnerable if demand fails to hold.

In summary: The market remains balanced rather than tight. Demand is steady enough to support prices, but not strong enough to alter structure. Soybeans continue to lead on demand, corn remains supported but fundamentally unchanged, and wheat continues to be driven by global supply. Prices are holding because demand has not weakened, not because supply is constrained. The next directional move will likely depend on whether demand begins to soften, or weather evolves into a more material risk.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.